



NITI Aayog

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SECTOR AT A GLANCE

Municipal Governance

Urban Sector in India

2023-Urban-SAG-05

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Municipal Governance

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The '**Sector-at-a-Glance**' provides an easy-to-read overview and basic understanding of a sector, sub-sector, or thematic area. The facts and insights on the sector are supported by relevant data and best practices from credible government and multilateral sources. The document covers the structure, key trends, opportunities and challenges, government initiatives, and the way forward for the sector.

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Introduction

This document serves as a primer for understanding the **municipal governance** in India. This document provides basic information on the sector – fundamental concepts, key trends, central government priorities and example of potential interventions.

This document attempts to answer the following questions:

1. What does municipal governance refer to?
2. What is the legal framework for municipal governance?
3. What is the status of municipal governance in India?
4. What are central government priorities?
5. What are potential interventions going forward?

What does municipal governance refer to?

Municipal governance refers to the set of frameworks, processes, and strategies through which cities are managed and administered. It involves the coordination of local government bodies, citizen participation, and planning initiatives to address the challenges of urbanisation, foster sustainable development, and ensure the efficient delivery of services and infrastructure in urban areas.

The key components of municipal governance in India include:

- **Local Government Institutions:** Municipal Corporations, Municipal Councils, and Urban Local Bodies are at the forefront of urban governance. They are responsible for formulating and implementing policies related to land use planning, zoning, and the provision of civic amenities.
- **Decentralisation:** Efforts have been made to decentralise urban governance by empowering local bodies to make decisions tailored to the specific needs of their communities. The 74th Constitutional Amendment Act of 1992 played a pivotal role in devolving powers and functions to urban local bodies.
- **Citizen Participation:** Effective urban governance encourages active citizen participation in decision-making processes. This can take the form of participatory budgeting, public consultations, and community engagement initiatives to ensure that the diverse needs and preferences of the urban population are considered.
- **Infrastructure Development:** Municipal governance involves strategic planning for the development of infrastructure such as roads, transportation, water supply, sanitation, and waste management. Coordinated efforts are essential to address the growing demands of urban populations and promote sustainable development.
- **Finance and Resource Mobilisation:** Adequate financial resources are crucial for effective municipal governance. Local bodies need to mobilise funds through taxation, user charges, and grants to finance infrastructure projects and provide essential services.
- **Urban Planning and Development:** Comprehensive urban planning is a core aspect of governance, involving the formulation of master plans, zoning regulations, and policies that guide the sustainable growth of cities. Balancing economic development with environmental sustainability is a key consideration.
- **Mission and Initiatives:** In recent years, the Indian government has launched the Atal Mission for Rejuvenation and Urban Transformation (AMRUT) scheme and the Smart Cities Mission, among others, to promote technological interventions and innovations in urban governance. The mission aims to

enhance the quality of life for residents by integrating technology and data-driven solutions into city planning and management.

What is the legal framework for municipal governance in India?

The history of decentralised governance dates back to 1989, when the 65th Constitutional Amendment Bill (Nagarpalika Bill) was introduced in the Lok Sabha. By granting municipal governments constitutional status, the bill aimed to strengthen and modernise them. The Bill envisaged a two-tier setup of Wards Committees and a Municipal Council for smaller urban areas, and a three-tier setup of Wards Committees, Zonal Committees and Corporation for larger urban areas. This was to ensure decentralisation not only at the city level but within the city as well. This bill underwent multiple revisions and was eventually enacted as the 74th Constitutional Amendment Act of 1992, which came into effect on June 1, 1993.¹

The **74th Constitutional Amendment Act of 1992** provided statutory recognition to urban local governments as the third-tier government. Urban development being a State Subject under the Constitution, there are state-specific municipal acts which govern the functioning of urban local governments. The **Municipal Acts of the respective states** determine the level of autonomy granted to the urban local governments and the inter-relationship between the two levels of government.

The 74th Constitutional Amendment also provided for formation of the State Finance Commission (SFC) every five years, for deciding the revenue share between the state government and the local governments. The functioning of the SFCs has been sub-optimal, which has hampered the level of financial resources available with urban local governments in general and, consequently, their performance as well.

A number of state governments have also passed the Right to Public Services Act or similar such acts which empower eligible persons to have access to public services in an efficient, transparent, and timely manner. Several states have also passed the Public Disclosure Law which allows citizens to assess the performance of their local and state governments and allow for transparency in decision-making. Such Acts are some of the tools which make local governments accountable to the population under its jurisdiction.

A. Highlights of the 74th CAA

Functional
devolution
framework

Appointment of
the State Finance
Commission

Ensuring regular
conduct of
elections

Constitution of
committees at
ward level

Composition of
metropolitan
planning
committees

The 12th schedule of the Constitution lists the following functions that may be devolved to Urban Local Bodies (ULBs) by the states:

- Urban planning; land-use regulation; construction of buildings, roads, and bridges; slum improvement
- Water supply, public health, sanitation, and solid waste management; fire services; street lighting and parking; public transport; urban forestry; provision of urban amenities and facilities
- Planning for economic and social development; promotion of cultural, educational, and aesthetic aspects

¹ Nagarpalika Network (AII LSG). (2001). *A Consultation paper on Decentralization and Municipalities*. New Delhi: National Commission.

- Alleviating urban poverty and safeguarding the interests of weaker sections of society, including the differently abled and mentally challenged
- Vital statistics, including registration of births and deaths

After the 74th CAA was enacted, Urban Local Bodies were categorised as follows: **Municipal Corporations** (Nagar/Mahanagar Nigam) for cities, **Municipal Councils** (Nagar Palika) for larger towns, and **Town Panchayats** (Nagar Panchayat) for smaller towns. India has 4,845 Urban Local Bodies – of which 254 are Municipal Corporations, 1,869 are Municipalities, and 2,396 are Town Panchayats.²

In addition to the above, the 74th CAA allows for the creation of Special Purpose Agencies/Authorities (SPAs) for specific urban planning and development purposes. These SPAs may include bodies responsible for urban transport, development of industrial areas, and other specialised functions. Other types of urban local governments in existence in India include Notified Area Committees, Town Area Committees, Cantonment Boards, Townships, and Port Trusts.

Structure of ULBs: The specific structure and functions of Urban Local Bodies may vary from state to state, as states have the flexibility to enact their own laws and regulations governing local governance in accordance with the 74th CAA. However, there are some common features in the structure:

- **Mayor/Chairperson:** At the head of the ULB is the Mayor (in the case of Municipal Corporations) or Chairperson (in the case of Municipalities and Municipal Councils). The Mayor/Chairperson is typically elected by the members of the ULB and serves as the ceremonial head. They preside over ULB meetings, symbolising the city's identity and advocating for the city's interests.
- **Municipal Commissioner/Chief Officer:** The Municipal Commissioner or Chief Officer is the administrative head of the ULB and is responsible for implementing the policies and decisions of the ULB. They are usually an Indian Administrative Service (IAS) officer or a senior civil servant. A Municipal Commissioner manages daily operations and administration of the ULB, and ensures efficient service delivery and compliance with laws and regulations.
- **Ward Committees:** Urban areas are divided into wards, and each ward typically has its own committee with elected representatives known as Ward Councillors. These ward committees address issues specific to their respective areas.

Area Sabhas: At a level below ward committees, Area Sabhas are local-level democratic institutions to promote grassroots participation in the governance of urban areas in India. These institutions are part of the decentralisation process and were established to facilitate citizen engagement and participation in decision-making processes related to local governance at the lowest rung.

The Community Participation Law (CPL), also termed as the Nagar Raj Bill, elaborately prescribes the structure, powers and functions of the Area Sabha as well as prescribes the constitution and governance of the ward committees. Various states have also made legal provisions for Area Sabhas in their respective Municipal Corporation/Municipalities Acts. This model proposes to divide each municipal ward into several 'Areas,' each consisting of about 3,000 voters – a number which can vary from state to state.

The main challenge with Area Sabhas has been the states' poor response in creating an enabling framework for setting up these Sabhas. According to a 2009 assessment by the Ministry of Urban Development (MoUD), only 12 states had enacted the CPL, and the ones that had did not completely conform with the stipulations in the Nagar Raj Bill. Additionally, there is little information available on the constitution and performance of the Area Sabhas, which makes it impossible to assess the effectiveness of these bodies.

² Government of India. (2023, October 9). *Local Government Directory*. Local Government Directory

- **General Body:** The general body of the ULB consists of elected representatives known as Municipal Councillors or Corporators. These members are elected by the residents of the urban area through local elections. The number of Councillors depends on the size and population of the area.
- **Standing Committees:** ULBs have various standing committees responsible for specific functions like finance and taxation, public health, education, town planning, citizen engagement, and more. These committees help in the decision-making process and oversight of urban governance.

B. Institutions involved in municipal governance in India

Ministry of Housing and Urban Affairs (MoHUA)	Apex authority at the national level responsible for policy formulation, developing and managing programs, co-ordinating with other ministries and state governments on matters related to urban development and housing. National-level urban sector agencies falling under its purview include the Town and Country Planning Organization (TCPO), National Institute of Urban Affairs (NIUA) and Building Materials & Technology Promotion Council, Housing and Urban Development Corporation (HUDCO) Ltd and Central Public Health and Environmental Engineering Organization (CPHEEO).
Central Finance Commission	Set up under Article 280 of the Constitution is responsible for recommending tax devolutions and grants-in-aid for transfer of funds from Union to States. It also makes recommendations for transfer of funds from the Union to local governments including urban local bodies.
State Urban Development Department	Nodal agency at the state level for policy formulation, managing programs, co-ordinating with other departments and MoHUA on matters related to urban development.
State Finance Commission (SFC)	Article 243-I of the Constitution provides for setting up of SFCs, and Article 243-Y provides that one of its roles would be to make recommendations on devolution of taxes and grants-in-aid to be transferred from the state to Urban Local Bodies.
Metropolitan Planning Committee (MPC)³	The 74th Constitutional Amendment provides that MPCs be set up by state governments in all metropolitan areas with a population of more than one million, which would be responsible for preparing a draft development plan for the metropolitan area.
Urban Local Body (ULB)	This could be in the form of Municipal Corporations, Municipal Councils, or Town Panchayats. They form the third tier of government and are governed by an elected body. ULBs are responsible for overall urban management though their role in infrastructure and service delivery may vary from state to state.

³ MPCs are only constituted in case of metropolitan regions.

What is the status of municipal governance in India?

The Municipal Performance Index is a framework developed in 2019 by the Ministry of Housing and Urban Affairs (MoHUA), Government of India, to assess and analyse the performance of urban local governments based on their defined set of functions. Municipal responsibilities range from provisioning basic public services to more complex domains such as urban planning. There are four objectives for this initiative:

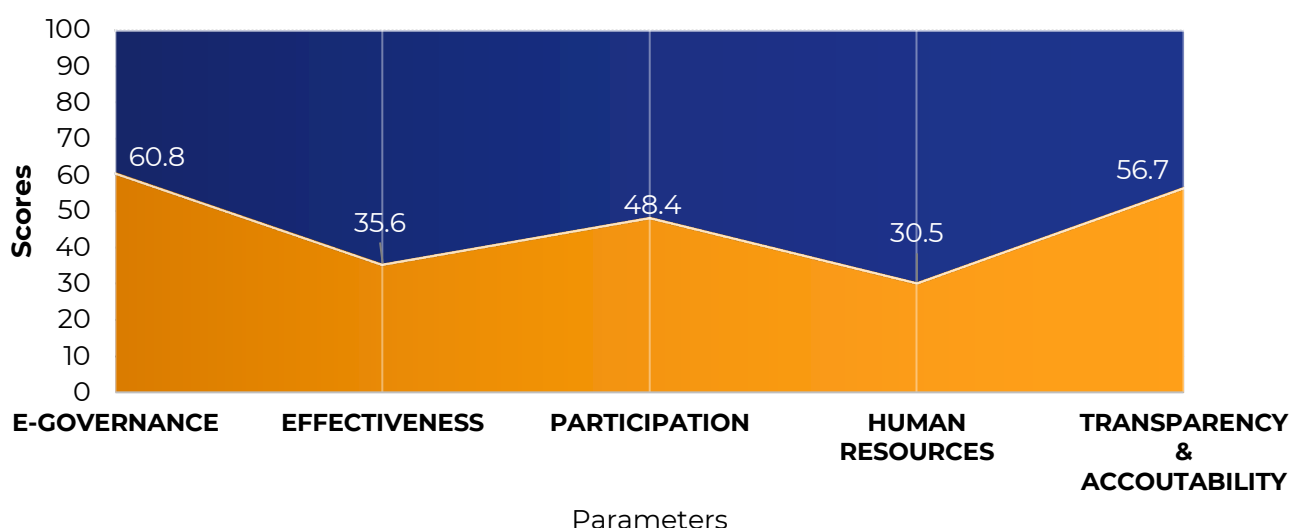
- 1) Generating information to guide evidence-based policy making
- 2) Catalysing action to achieve broader developmental outcomes including the Sustainable Development Goals
- 3) Assessing and comparing the outcomes achieved by municipal bodies with given set of resources
- 4) Giving citizens an insight into the functioning of local bodies and building a dialogue between the stakeholders.

Municipal Performance Index (MPI) evaluates the sector performance of municipalities. In total, 111 municipalities were assessed across a set of five verticals, which include 20 sectors and 100 indicators in 2020.

The vertical for Services with a weightage of 30% in the index, includes an assessment of all functions that citizens experience daily. Finance (20% weightage in the index) measures municipalities based on how they manage public funds and how their agency is accessing financial resources. The vertical for Planning (15% weightage) examines the level of preparation, implementation, and enforcement of urban planning. Digital coverage of municipality services and the extent to which it empowers its citizens to access such services, is measured under Technology (15% weightage). Finally, Governance (20% weightage) deals with aspects of municipal bodies and their governance mechanism.

The overall performance of the 111 municipalities has not been consistent across different verticals. Municipalities have performed the best in Services, with a national average of 52.1, closely followed by Finance at 51.1. Technology emerges as the lowest-scoring vertical, at 24.0. Municipalities have also fallen short in their planning performance, with the national average at 34.0. Governance observes its national average at 42.8.

Figure 1: Average scores of 111 Indian cities on governance parameters under the Municipal Performance Index, 2020



Source: Municipal Performance Index Report 2020, Ministry of Housing and Urban Affairs

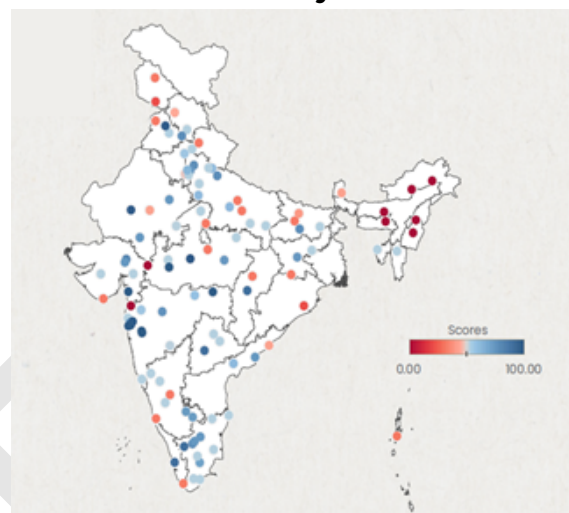
Transparency and accountability

Transparency and accountability have a profound impact on ratifying a true democracy. Lack of a structured platform for citizen participation and the systematic participatory process often leads to incoherent citizen grievance redressal systems. Subsequently, lack of transparency in financial decisions and operationalisation instigate low levels of trust, which in turn induce a weaker democracy. Deficiency in the availability of data and information further worsen the situation.

The MPI assesses transparency and accountability on five parameters:

- Mandatory for elected and government officials to disclose their income and assets. (Y/ N)
- Municipal budgets and accounts published every year (Y/ N)
- Municipal service-level performance reports published every year (Y/ N)
- Municipal environmental status report with action plans published every year (Y/ N)
- Municipal employees charged under corruption cases in the last year (% of total staff strength)

Figure 2: Mapping of Transparency and Accountability sector scores



Source: Municipal Performance Index Report 2020, MoHUA

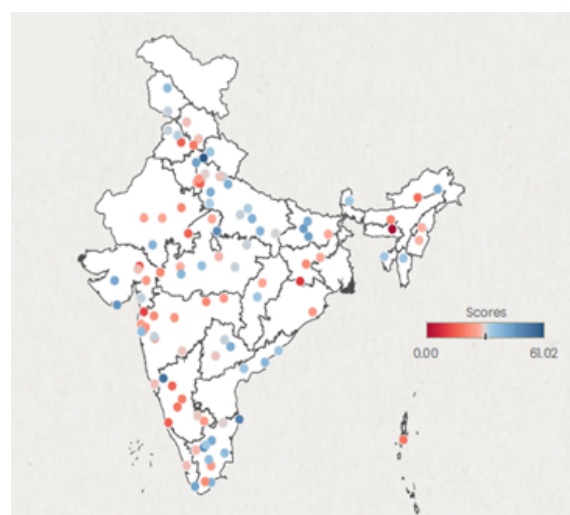
Human resources

Inadequacy in the capacity of urban local governments stemming from personnel unavailability with requisite skills can inhibit the administration's proper functioning. Consequently, problems arising from unstable leadership, gender disparity, and unempowered Mayors also prevent cities' efficient management.

The MPI assesses municipal governance with respect to human resource based on four parameters:

- Actual municipal staff relative to the total sanctioned staff strength (%)
- Proportion of women in the municipal workforce (%)
- Average tenure of Municipal Commissioner and Mayor in the past five years (number of years)
- Direct election of mayor (Yes/ No)

Figure 3: Mapping of Human Resources sector scores



Source: Municipal Performance Index Report 2020, MoHUA

Participation

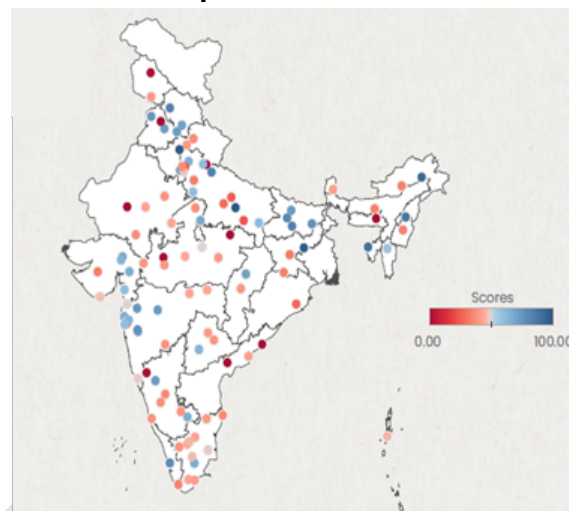
For a municipal body to function effectively, it must ensure co-operation and participation from its citizens. All aspects of governance are inter-linked. If the citizens cannot trust the governing bodies or do not see fair representation in the local municipality, it is likely to affect their community participation and

voter turnout. The variance in the executive capacity of various municipalities has led to this sector scoring low.

The MPI assesses municipal governance on citizen participation based on three parameters:

- Proportion of registered voters participating in municipal election (%)
- Number of local elected officials relative to city population (officials per lakh population)
- Proportion of wards where ward committees have been formed (%)

Figure 4: Mapping of Participation sector scores



Source: Municipal Performance Index Report 2020, MoHUA

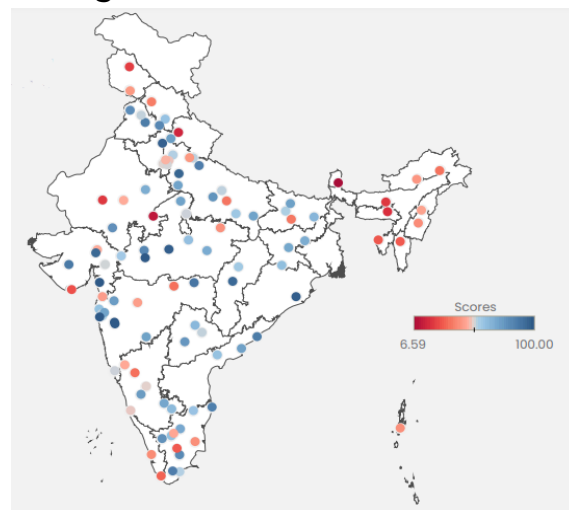
E-Governance/ Digital Governance

Advances in information and communication technology (ICT) can be leveraged for digital or e-governance to improve access to, efficacy of and transparency in municipal services.

The MPI assesses e-governance adoption on seven parameters

- E-governance initiatives including web portal, web-based and mobile-based public service delivery as well as grievance redressal (% of total services)
- Management of services through command-and-control system (Yes/ No)
- Proportion of tenders finalised through e-tendering (% by number and by value)
- Existence of open data policy (Yes/ No)
- Existence of a City Data Officer (Yes/ No)
- City is a part of a City Data Alliance (Yes/ No)
- Open data portal has been set up (Yes/ No)

Figure 5: Mapping of Digital Governance sector scores



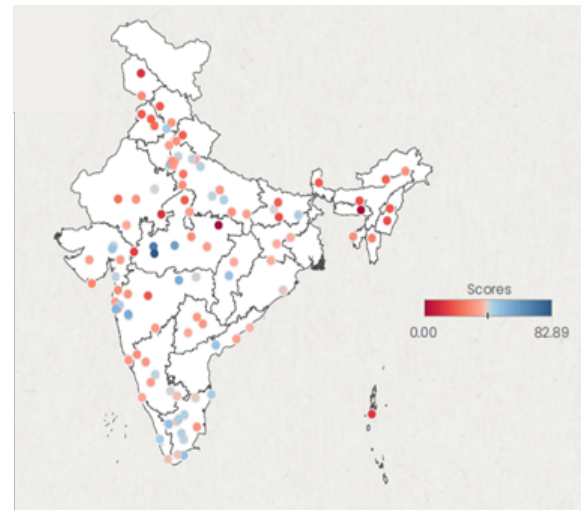
Source: Municipal Performance Index Report 2020, MoHUA

Effectiveness

The MPI assesses effectiveness on four parameters:

- Existence of a citizen charter (Yes/ No)
- Establishment expenditure per employee including contractual staff (Rs/ employee)
- Proportion of staff which has undergone training (%)
- Existence of an ombudsman present for service level related queries and grievance redressal (Y/ N)

Figure 6: Mapping of Effectiveness sector scores



Source: Municipal Performance Index Report 2020, MoHUA

The Municipal Performance Index (MPI) periodically identifies the various areas of improvement in municipal performance in cities that have set up Urban Local Bodies (ULB). However, one of the fundamental challenges in municipal governance is that many statutory towns and census towns are yet to set up a ULB.

There are a number of potential causes:

Limited Resources: Establishing and maintaining an Urban Local Body requires financial resources, skilled personnel, and administrative infrastructure. In many cases, smaller towns may lack the financial capacity or technical expertise needed to set up and sustain effective municipal governance.

Administrative Capacity: Many towns may face challenges in building the necessary administrative capacity to manage urban governance effectively. This includes challenges in implementing transparent financial management, planning and executing infrastructure projects, and delivering essential services.

Legal and Regulatory Challenges: Towns may face legal and regulatory hurdles in the process of forming Urban Local Bodies. This could be due to complexities in demarcating jurisdictional boundaries, resolving land-use issues, or addressing legal ambiguities related to municipal governance.

Additional reasons may include a lack of awareness among the local population or authorities about the benefits of having an Urban Local Body, high prevalence of a mixed urban-rural character whereby local governance may be primarily administered through rural local bodies, and infrastructure deficiencies impeding service provision as per the benchmarks.

The absence of a ULB impacts the quality of life, as there is no authority to plan and oversee the provision of public infrastructure and amenities, as well as the implementation of central and state schemes.

A. Devolution of functions to Urban Local Bodies⁴

18 Functions																					
States	1	2	3	4	5	6a	6b	7	8	9	10	11	12	13a	13b	14	15	16	17a	17b	18
Andhra Pradesh																					
Arunachal Pradesh																					
Assam																					
Bihar																					
Chhattisgarh																					
Delhi																					
Goa																					
Gujarat																					
Haryana																					
Him achal Pradesh																					
Jharkhand																					
Karnataka																					
Kerala																					
Madhya Pradesh																					
Maharashtra																					
Manipur																					
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Sikkim																					
Tam il Nadu																					
Telangana																					
Tripura																					
Uttar Pradesh																					
Uttarakhand																					
West Bengal																					

Legend:

	Functions under city government
	Functions under multiple agencies
	Functions under State government

⁴ Praja Foundation. (2020). *Praja's Urban Governance Index*. Mumbai: Praja Foundation

1	Urban planning including town planning
2	Regulation of land-use and construction of buildings.
3	Planning for economic and social development
4	Roads and bridges
5	Water supply for domestic, industrial and commercial purposes
6a	Public health, sanitation conservancy
6b	Solid waste management
7	Fire services
8	Urban forestry, protection of the environment and promotion of ecological aspects
9	Safeguarding the interests of weaker sections of society, including the handicapped and mentally retarded
10	Slum improvement and upgradation
11	Urban poverty alleviation
12	Provision of urban amenities and facilities such as parks, gardens, playgrounds
13a	Promotion of cultural and aesthetic aspects
13b	Promotion of Education
14	Burials and burial grounds; cremations, cremation grounds
15	Cattle pounds; prevention of cruelty to animals
16	Vital statistics including birth and death registration
17a	Public amenities including street lighting, parking lots and public conveniences
17b	Bus stops
18	Regulation of slaughter houses and tanneries

Mizoram is the only Indian state which has fully devolved the urban planning function (Function 1) to the city government. In almost 60% of the states, the function is under multiple agencies, while in almost 38%, the function is solely under the state government – i.e., devolution has not been carried out.

Except the provision of localised amenities such as solid waste management, burial/cremation grounds, cattle pounds, slaughterhouses, etc., most of the functions are not devolved to the city government but are managed by a combination of local and state-level agencies.

The state of Maharashtra has achieved a relatively better degree of devolution – none of the functions are solely under the control of the state government. Other states with a lower degree of state control on the 18 functions are Andhra Pradesh, Madhya Pradesh and Rajasthan.

It is apparent that the devolution of functions has not yet been carried out as envisaged in the 74th Constitutional Amendment Act. Overlapping of functions and the lack of direct accountability of parastatal agencies to the citizens are serious governance challenges, which can be addressed through active adoption of measures for effective decentralisation.

What are the central government priorities? —

The central government advocates for reforms in urban governance, encouraging transparency, accountability, and citizen participation. This involves empowering local bodies, improving financial management, and adopting best practices for efficient municipal administration. Multiple missions, schemes and programs have been launched towards the fulfilment of these priorities.

A. Atal Mission for Urban Rejuvenation and Transformation (AMRUT) Reforms —

Municipal governance related reforms advocated under AMRUT, launched in 2015, are as follows:

- Adoption of e-governance
- Constitution and professionalisation of municipal cadre
- Appointment of an internal auditor
- Disclosure of annual financial statements and demand-collection book of taxes levied on the ULB website
- Transfer of all eighteen functions as per the 74th CAA to ULBs

As per the AMRUT budget Mission statement /guidelines, a provision of 10% as an incentive is earmarked in budget for the States which implement these reforms.

AMRUT 2.0, launched in 2021, re-iterates the emphasis on e-governance for property tax, death and birth certificates, shop license, health license as well as online grievance redressal systems (particularly for water, sanitation, solid waste, streetlights and drainage services).

B. Smart Cities Mission (SCM)

Under the Smart Cities Mission launched in 2015 by MoHUA, the ULBs were required to set up a Special Purpose Vehicle (SPV) for project implementation with a well-defined governance and human resource framework. Under the mission, there was also a considerable focus on citizen participation to develop the Smart City proposal.

Municipal governance-related aspects were included as part of the scoring parameters for the challenge. Some of these included:

- Making operable Online Grievance Redressal System with response being sent back to complainant
- Publishing the first monthly e-newsletter
- Electronically placing project-wise municipal budget expenditure information for the last two fiscal years on the website
- Starting to levy compensatory penalty for delays in service delivery

The mission also evaluated capabilities of the participating cities based on their demonstrated ability to leverage Information and Communication Technologies (ICT) to:

- Take attendance of functionaries and achieve improved attendance as a result
- Establish two-way communication with people
- Use the e-governance portal to enable hassle-free access to statutory documents
- Develop dashboards that integrate analytics and visualisation, enhancing administrative efficiency as well as providing information to citizens

Special Purpose Vehicles under Smart Cities: The implementation of the Smart City Mission at the city level is undertaken by a Special Purpose Vehicle (SPV) created for the purpose. The SPV plans, appraises, approves, releases funds, implements, manages, operates, monitors and evaluates the Smart City development projects. The SPV is headed by a full time Chief Executive Officer (CEO) and has nominees of Central Government, State Government and ULB on its Board. The SPV is typically set up as a limited company incorporated under the Companies Act, 2013, at the city level, in which the State/Union Territory and the ULB will be the promoters having 50:50 equity shareholding.⁵

All 100 cities selected to become 'smart cities' under the Smart Cities Mission in India have Special Purpose Vehicles (SPVs) incorporated in them.

⁵ Ministry of Housing and Urban Affairs. (2021, January 21). *Smart Cities Mission Implementation - SPVs*.

Some of the major governance challenges with these SPVs has been the lack of adequate skilled workforce to run the SPVs and to monitor large projects. While it was intended for SPVs to have a professional CEO, most state governments appointed bureaucrats to the position. The functioning of SPVs has been impaired by frequent transfers and dual charge of the officials appointed to the post of CEO. SPVs were expected to run like private companies. But with government officials as CEOs, they functioned more like an extended arm of the ULB. In some SPVs, adequate powers were not designated to CEOs. This has proven to be the bane of many smart city projects.⁶

C. National Urban Digital Mission (NUDM)

The National Urban Digital Mission (NUDM) has been launched by the Ministry of Housing and Urban Affairs (MoHUA) along with the Ministry of Electronics and Information Technology (MEITY). NUDM is aiming to create a shared digital infrastructure for urban India. It works across the three pillars of People, Process, and Platform to institutionalise a citizen-centric and ecosystem-driven approach to urban governance and service delivery. NUDM has defined a set of governing principles which give rise to standards, specifications, and certifications, across the three pillars. NUDM has also adopted the principle of the National Urban Information Stack (NUIS). NUIS aims to strengthen the capacity of the urban ecosystem to solve complex programs at speed and scale by unlocking the power of urban data.

An India Urban Data Exchange (IUDX) has been conceptualised in partnership with the Smart Cities Mission and Indian Institute of Science, Bengaluru. IUDX serves as a seamless interface for data providers and data users, including Urban Local Bodies (ULBs), to share, request, and access datasets related to cities, urban governance, and urban service delivery.

A SmartCode platform has been developed that enables all ecosystem stakeholders to contribute to a repository of open-source code for various solutions and applications for urban governance. It is designed to address the challenges that ULBs face in the development and deployment of digital applications to address urban challenges, by enabling cities to take advantage of existing codes and customising them to suit local needs, rather than having to develop solutions from scratch.

A Geospatial Management Information System (GMIS) is developed as a web-based, spatially enabled management tool providing one-stop access to information. GMIS integrates information from multiple sources and features search options by topic and geographic area.

Towards achieving improvement in efficiency and effectiveness of delivery of municipal service – the UPYOG portal⁷

The Urban Platform for delivery of Online Governance (or UPYOG) portal is the national reference platform created for the delivery of municipal services online, which utilises the National Urban Innovation Stack principles. The Ministry for Housing and Urban Affairs is the nodal ministry sponsoring the UPYOG program under the National Urban Digital Mission (NUDM). The National Institute of Urban Affairs will serve as the anchor institution for NUDM. An apex committee will be formed with representation from MoHUA to provide strategic oversight for the program's implementation.

The program will use the following framework to reach its goals:

- An open digital platform together with nine reference modules
 - Property tax assessment and payment
 - Trade license issuance and payment
 - No Objection Certificate (NOC) issuance
 - Building plan approval

⁶ Behl, V. (2021, June 25). My Realty Radar. Smart Cities Mission- Challenges & Prospects. n.a., n.a., India: LinkedIn.

⁷ National Institute of Urban Affairs (NIUA). (2023, October 10). Urban Platform for delivery of Online Governance.

- Water and sewerage connection management
- Public grievance redressal
- Birth and death registration
- Municipal accounting and finance
- Miscellaneous collections

In order to expedite adoption of Governance Platform by states/ULBs, the platform will be created with a minimal set of reference solutions for the priority services identified by the anchor institution.

- Standards for platforms, software, and data reporting related to municipal services delivery
- A panel of service providers, who have been vetted and approved to work with states on implementing the platform, together with indicative rates for their services.
- Program Implementation Guidelines on various elements of program design, to enable adoption of the platform and applications

The program will be steered in each State/ UT through an institutional mechanism called State Program Directorate. These Directorates will be supported, in turn, by the Program Monitoring Unit. The program at the ULB level will be managed by a dedicated program cell, comprising at least two members, headed by the Commissioner of the Municipal Corporation.

The UPYOG program will assist municipal bodies across India to improve service delivery mechanism, achieve better information management & transparency and ensure utmost citizen's involvement in participative governance.

D. Report on Indian Urban Infrastructure and Services by The High-Powered Expert Committee (HPEC) for Estimating the Investment Requirements for Urban Infrastructure Services

The HPEC was set up by the Ministry of Urban Development in May 2008 for estimating the investment requirement for urban infrastructure services.. The Committee projected large investment requirements for providing public services to specified norms and also supporting the growth process. The Committee has proposed a framework for governance and financing which will enable the Municipal Corporations, Municipalities and Nagar Panchayats to discharge their responsibilities of delivering public services of specified standards to all including the poor.

The report highlights that ULBs have not been adequately empowered to meet urban development challenges, as the state governments have only partially complied with the devolution of functions, funds, finances and functionaries stipulated in the 74th CAA. The report also brings forth issues such as the limited role of Mayors in city governance, lack of integrated framework for planning for urban development and urban poverty alleviation, overlapping institutional responsibilities, lack of functional and fiscal devolution to ULBs to facilitate efficient delivery of public services. The report offers recommendations such as empowering the Mayor, integrating institutions catering to all aspects of urban development, public-private partnerships, corporatisation of urban services, and so on.

What are potential interventions going forward?

Good governance is impacted by the following:

- Whether the policy framework is robust and informed by basic economic principles
- Whether the necessary processes and protocols are in place to simplify governance
- Whether capacity and capacity building measures are in place
- Whether an independent monitoring and evaluation authority is in place

The objective of the 74th CAA to have urban local governments acting as self-governing units continues to remain unfulfilled. Following can be potential interventions to work towards achieving this objective:



Institutional reform for outcome- orientation

Emerging considerations such as climate change, social inclusion, improved ease of living require an outcome orientation to policy, planning and service delivery. For this, the relationship between the state government and Urban Local Bodies needs to be revisited.



E-governance

Cities across India have already begun adopted ICT to improve governance and service delivery. There is scope to expand this adoption to cover various aspects laid out in NUDM and AMRUT. At the same time, there is also scope to innovate and use ICT for not only improving citizen access and transparency but also internal administration of ULBs.

An ecosystem of public sector, private sector, academia, NGOs and civil society leveraged by information technology can conduct data-driven decision making for smart governance.

Recommended Readings

- Ministry of Housing and Urban Affairs. (2021). *Municipal Performance Index 2020*.
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